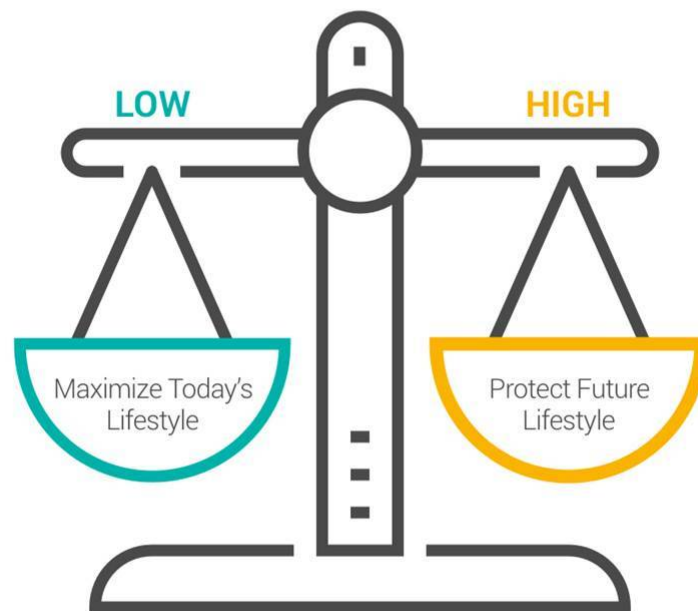


do so.

(2) The thought of needing to significantly reduce my living standard or burdening my children at an advanced age is sufficiently alarming that I would rather maintain a more conservative lifestyle today to better protect against this possibility.

Answering (1) implies low longevity risk aversion, while answering (2) implies high longevity risk aversion. With low longevity risk aversion, the focus is on maximizing today's lifestyle. With higher longevity risk aversion, the focus shifts to protecting lifestyle in the future.

Longevity Risk Aversion



People with high flexibility and low longevity risk aversion are quite willing to let their spending decrease over time to reflect the low probability of survival as they age. Spending starts higher this way. As tolerance to endure spending reductions decreases, initial retirement spending declines in order to raise late-in-life retirement spending. There will be less frontloading of spending.